

Equity Research Report

CG Power & Industrial Solutions Ltd

Trough Earnings, Secular Tailwinds, Semiconductor Optionality

CG Power & Industrial Solutions Ltd (formerly Crompton Greaves) is one of India's oldest electrical equipment manufacturers, incorporated on 28 April 1937. Post the Murugappa Group's transformative acquisition in September 2020, CG Power pivoted from a distressed company borrowings of ₹3,297 Cr and stock price of ₹4 to one of India's fastest-growing capital goods stories. The company operates through Power Systems (~55% revenue) covering transformers, switchgears and power automation exposed to India's ₹9.15 lakh crore T&D investment plan, and Industrial Systems (~45% revenue) covering motors, drives, railway traction and defence electronics serving Indian Railways, DMRC and defence establishments nationally.

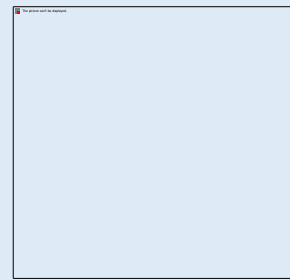
In a landmark strategic move, CG Power announced a Semiconductor OSAT joint venture with Renesas Electronics of Japan ₹7,600 Cr investment over 5 years at Sanand, Gujarat targeting 15 million chips per day giving the company an entirely new high-margin revenue stream beyond its traditional capital goods business. With manufacturing plants in Bhopal, Nashik, Ahmednagar and Goa and FY25 revenue of ₹9,909 Cr being the highest in company history, CG Power touches the heart of India's infrastructure buildout across power, railways, defence and semiconductors..

Brief View

- FY25 is trough earnings — margin compression driven by capacity investments, not structural deterioration
- OPM peaked at 14.5% (FY23), fell to 10.5% (FY25); recovery to 14.2% by FY27 is the core thesis
- Stock currently trades at P/E of ~117x and EPS of ₹6.37 (TTM basis)
- Semiconductor OSAT optionality with Renesas not yet priced in — transformative over 3–5 years

Key Highlights

- Revenue grew 23.2% YoY in FY25 to ₹9,909 Cr all-time high
- Borrowings collapsed from ₹3,297 Cr (FY19) to ₹41 Cr (FY25) — virtually debt-free
- Net cash position of ₹1,218 Cr as of FY25; interest cost just ₹21 Cr
- Semiconductor OSAT JV with Renesas Electronics announced — ₹7,600 Cr capex over 5 years
- Quarterly revenue accelerating: +29% YoY in Q2FY26; OPM recovering to 13%+
- Murugappa Group governance clean audits, zero promoter pledge, regular dividends



Recommendation : BUY
CMP : INR 748
Target Price : 880

Stock Data (as of Apr 2026)

NIFTY : 22,500
52 Weeks H/L (INR) : 860 / 310
Market Cap (INR Crs) : 1,17,804
O/s Shares (Crs) : 152.89
Dividend Yield (%) : 0.13%
NSE Code : CGPOWER

Relative Stock Performance – 1Y



Shareholding Pattern (as on Jan 31, 2026)

Promoter : 58.7%
(TII/Murugappa)
FII : 9.4%
DII : 17.8%
Public and others : 14.1%

Absolute Returns

1 year : -12.5%
3 Years : +245%
5 Years : +1,380%

Financial Summary

In INR Crs	FY25	FY 26E	FY 27E
Net Revenue	9,909	12,500	15,000
YOY Growth %	23.2%	26.1%	20.0%
EBITDA	1,040	1,531	2,130
EBITDA Margins %	10.5%	12.2%	14.2%
PAT	975	1,250	1,800
YOY Growth %	-31.7%	28.2%	44.0%
ROE	25.4%	28.0%	32.0%
EPS (in INR)	6.37	8.18	11.77
P/E (x)	117x	91x	64x
EV/ EBITDA	~115x	~78x	~55x

Prepared by: Sakshaam Sharma
BBA (DBE), IIM Bangalore

CG POWER

Global Economy

FY24-25 witnessed a period of recalibration in global growth, shaped by persistent geopolitical tensions, divergent monetary policy cycles across central banks, and a gradual softening of inflationary pressures post the COVID-era supply shocks. Tariff escalations driven by US trade policy shifts and China's uneven stimulus-led recovery continued to create uncertainty across commodity and manufacturing sectors. Global growth moderated from 3.5% in 2023 to 3.3% in 2024 and is projected to sustain at ~3.3% through 2025–26, remaining below the pre-pandemic average of 3.7%.

The IMF projects global growth to average ~3.1% over the next five years, constrained by ageing demographics, high debt burdens, and structural productivity gaps in advanced economies.

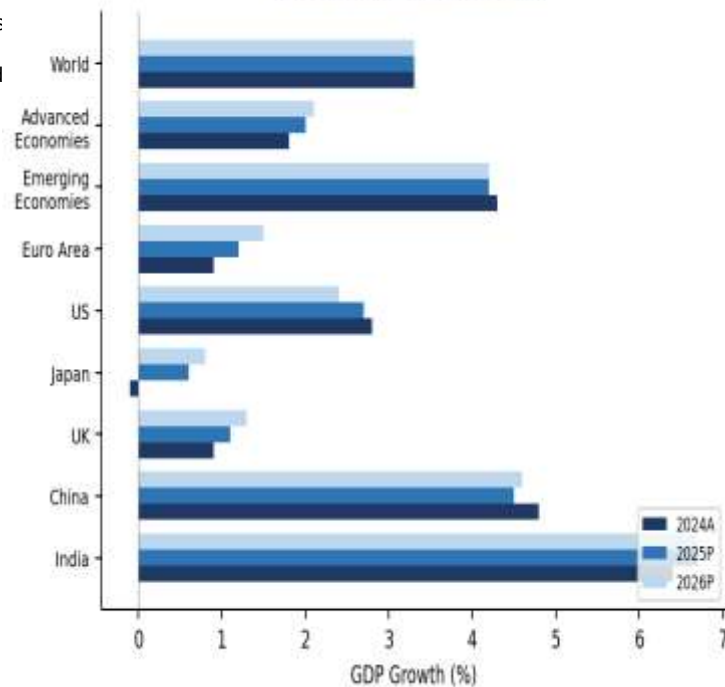
Advanced Economies grew at 1.8% in FY24, with the Euro Area recovering modestly to 0.9% growth. The US maintained above-trend growth led by consumption, while Japan continued to face domestic demand headwinds.

Emerging Markets & Developing Economies (EMDEs) clocked 4.3% growth in FY24 vs. 4.7% in FY23, dragged by China's structural slowdown in real estate, tighter financial conditions, and ongoing conflicts in the Middle East and Ukraine.

Global headline inflation is expected to decline from 4.1% in 2025 to 3.8% in 2026 and further to 3.4% in 2027. The accelerating adoption of AI, energy transition capex, and supply chain realignment are emerging as structural growth vectors that could reshape global investment flows.

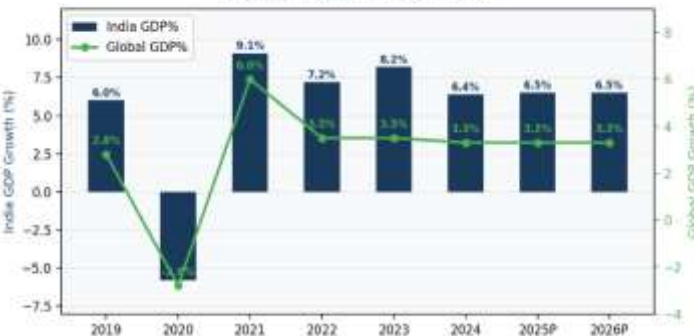
Source: IMF WEO, Company Analysis

Global GDP Projections (%)



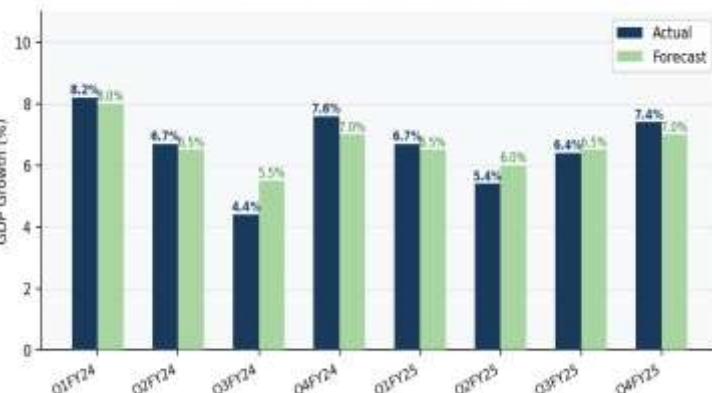
Source: IMF WEO

India vs Global GDP Growth (%)



Source: IMF, Trading Economics

Indian GDP Quarterly Growth: Actual vs Forecast



Source: Investing.com

Indian Economy

FY25 was characterized by resilient domestic fundamentals against a backdrop of global uncertainty. Strong rural consumption aided by above-normal monsoon, government-led capital expenditure, robust services exports, and improved agricultural output drove steady economic momentum. India's real GDP growth stood at 6.4% in FY25, moderating from 9.2% in FY24 but remaining among the fastest-growing major economies globally. Growth is projected at ~6.7% for both FY26 and FY27, significantly outpacing peer emerging markets. Retail headline inflation softened from 5.4% in FY24 to 4.6% in FY25, aided by easing food prices and base effects. The Union Government's capital expenditure allocation exceeded Rs. 11 lakh crores, underpinning infrastructure momentum, while the RBI's rate cuts and liquidity measures supported transmission into the broader economy.

The manufacturing sector received significant policy impetus through PLI schemes across 14 sectors, domestic procurement mandates, and defence indigenization, catalyzing private investment revival. The capital goods and power equipment sectors have been direct beneficiaries of this structural push. India's nominal GDP is projected to expand from \$3.5 trillion in 2023 to \$5.7 trillion by 2028, cementing its position as the world's 3rd largest economy and the most attractive consumption and investment destination over the medium term.

Source: IMF WEO, Morgan Stanley report, Company Analysis

CG POWER

Global Capital Goods & Power Equipment Industry

The global capital goods market is valued at approximately USD 2.7 trillion in FY24 and is expected to grow at a CAGR of ~4.5% through 2030, driven by accelerating energy transition investments, infrastructure modernization, and industrial automation.

The global power transformer market alone is valued at USD 27 Bn in 2024 and is projected to reach USD 62 Bn by 2032, growing at a CAGR of ~11%, led by grid modernization in the US and Europe, renewable energy integration, and massive transmission network build-outs across Asia.

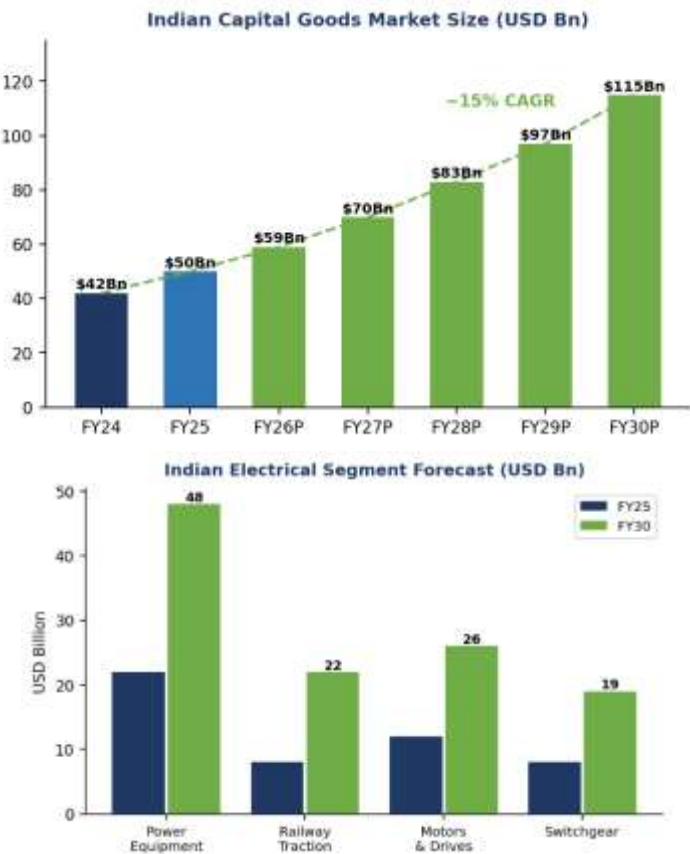
The global electrical motors & drives market stands at USD 75 Bn and is growing at a CAGR of 6.5%, propelled by energy efficiency mandates, industrial automation, and EV drivetrain adoption.

Railway traction equipment globally is projected to grow at ~7% CAGR through 2030, led by metro rail expansions and high-speed rail networks across Asia and Europe.

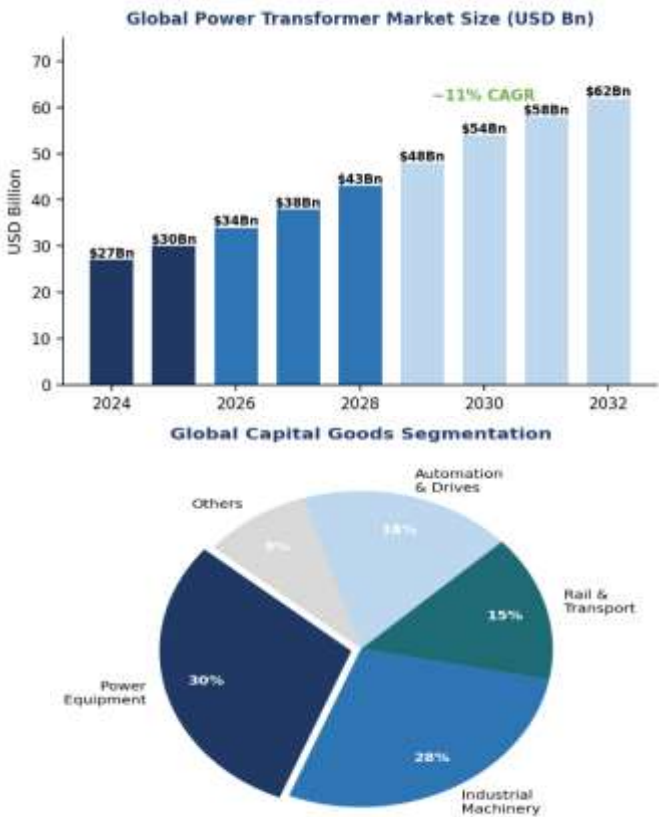
Key global players include ABB, Siemens Energy, Schneider Electric, Hitachi Energy, and GE Vernova. China dominates transformer manufacturing for low-to-mid voltage segments, while India is rapidly capturing high-voltage transformer supply chains as global procurement diversifies away from China.

Over 45% of global capital goods companies are increasing R&D and digital twin investments to improve product efficiency, reduce commissioning time, and enable remote diagnostics — a trend that is reshaping competitive dynamics.

Source: Ken, Research & Markets



Source: Marcglocal, ibef, Financial express, nielseniq, Deloitte-FICCI



Source: Ken, Research & Markets, marketreportsworld.com, industryresearch

Indian Capital Goods & Power Equipment Industry

India's capital goods sector is the 6th largest contributor to manufacturing GDP, with an estimated market size of USD 50 Bn in FY25 and a projected CAGR of 12–14% through FY30, backed by the government's Rs. 11+ lakh crore annual capex programme and accelerating private sector investments in power and manufacturing.

India's power sector is at an inflection point. The country needs to add ~500 GW of renewable capacity by 2030 (from ~200 GW today), necessitating massive transmission and distribution infrastructure build-out. Domestic transformer demand alone is expected to grow at 15%+ CAGR through FY28, resulting in sustained supply constraints that benefit established domestic manufacturers.

The railway sector, under the National Rail Plan targeting 100% electrification and high-speed corridors, has budgeted over Rs. 2.5 lakh crores in FY25 capex — the highest ever. This is directly driving traction transformer and traction motor demand, a segment where CG Power holds a dominant market position.

The PLI scheme for White Goods (ACs, LED) and Speciality Steel, combined with Make in India mandates for defence and railways, is creating a multi-year domestic manufacturing supercycle that structurally benefits electrical equipment manufacturers.

India's capital goods export potential is also expanding rapidly as global OEMs diversify supply chains away from China (China+1), with India's transformer exports growing at ~18% CAGR over FY22–FY25.

Quick commerce penetration in industrial distribution is still nascent, but e-procurement platforms are transforming B2B supply chains, compressing lead times and improving working capital cycles across the sector.

Source: Marcglocal, ibef, Financial express

CG POWER

FDI, Exports & Imports (Capital Goods / Power Equipment Industry)

From April 2000 to March 2025, cumulative FDI into India's electrical equipment and heavy engineering sector stood at ~Rs. 28,400 crores (USD 3.4 Bn). 100% FDI is permitted under the automatic route in transformer, motor, switchgear, and railway equipment manufacturing.

ABB, Siemens, Hitachi Energy & Schneider have collectively invested USD 1.2 Bn+ in Indian capacity over FY20–FY25. FDI in railway electrical equipment grew at 28% CAGR over FY20–FY25 driven by Make in India mandates. Hitachi Energy's acquisition of ABB Power Grids India brought significant HVDC and GIS technology transfer. Capital goods sector is the 11th largest FDI recipient as of FY25.

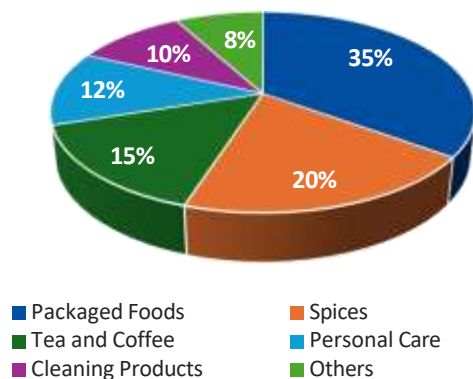
Source: IBEF, DPIIT

Exports Scenario

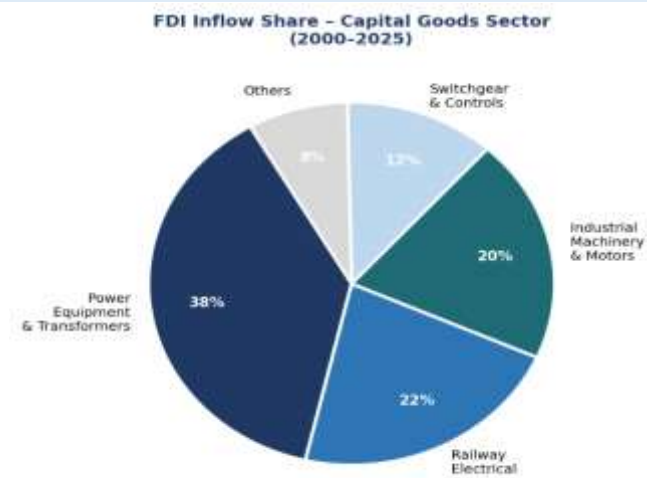
India's FMCG exports are gaining momentum with rising global demand for products like atta, poha, soya nuggets, noodles, soaps, and shampoos, driven by the growing popularity of Indian cuisine and lifestyle abroad. Along with the staple items like basmati rice, newer items such as mustard oil, sunflower oil, besan, and personal care products are gaining popularity among Indian & local consumers in foreign markets.

India's FMCG exports cover diverse categories such as packaged foods, beverages, personal care, and household cleaning products, reaching markets across the globe.

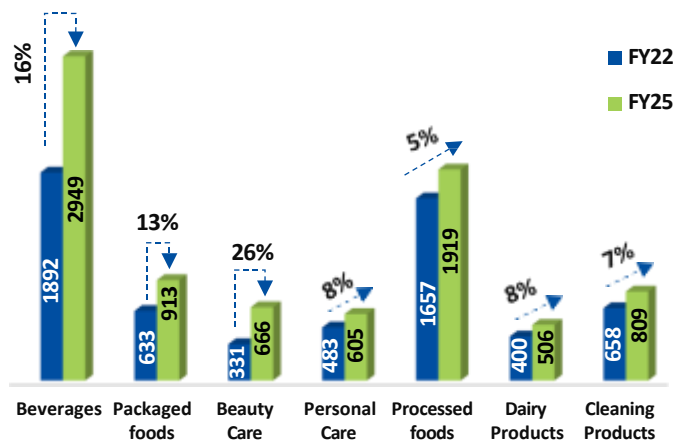
Segment-wise Estimated Export Share (%)



Source: Department of Commerce, Ministry of Commerce & Industry, GOI

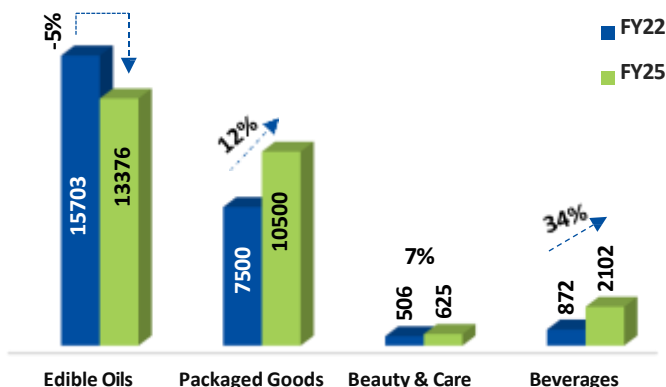


Major FMCG Exports (Values in USD Mn; CAGR in %)



Source: Department of Commerce, Ministry of Commerce & Industry, GOI

Major FMCG Imports (Values in USD Mn; CAGR in %)



Source: Department of Commerce, Ministry of Commerce & Industry, GOI

Imports Scenario

India depends heavily on imports of edible oil and crude oil to fulfill its requirements. In FY24, ~57% of edible oil requirements was met through imports. There has also been a growth in imports of premium perfumes, chocolates, cosmetics and alcoholic beverages. In FY24 the government raised import duties on crude oil from 5.5% to effective 27.5% and refined oil from 13.75% to 35.75% to protect domestic producers. In FY25, the edible oil duty was reduced from 20% to 10% to reduce inflation, ease prices for consumers and to support the FMCF sector.

In FY24, the Union Budget allocated US\$ 976 million for PLI schemes that aim to reduce imports, lower production costs, increase local capacity, and promote exports.

Source: ET, DGCI, WITS, OEC, Statista, USDA FAS reports

CG POWER



Company Profile

CG Power and Industrial Solutions Limited (hereinafter referred to as 'CG Power' or 'the Company') is one of India's leading manufacturers of electrical equipment across the power and industrial verticals. Formerly part of the Avantha Group, the company underwent a significant transformation following its acquisition by the Murugappa Group through Tube Investments of India Limited (TII) in 2020 — one of India's most celebrated corporate turnaround stories.

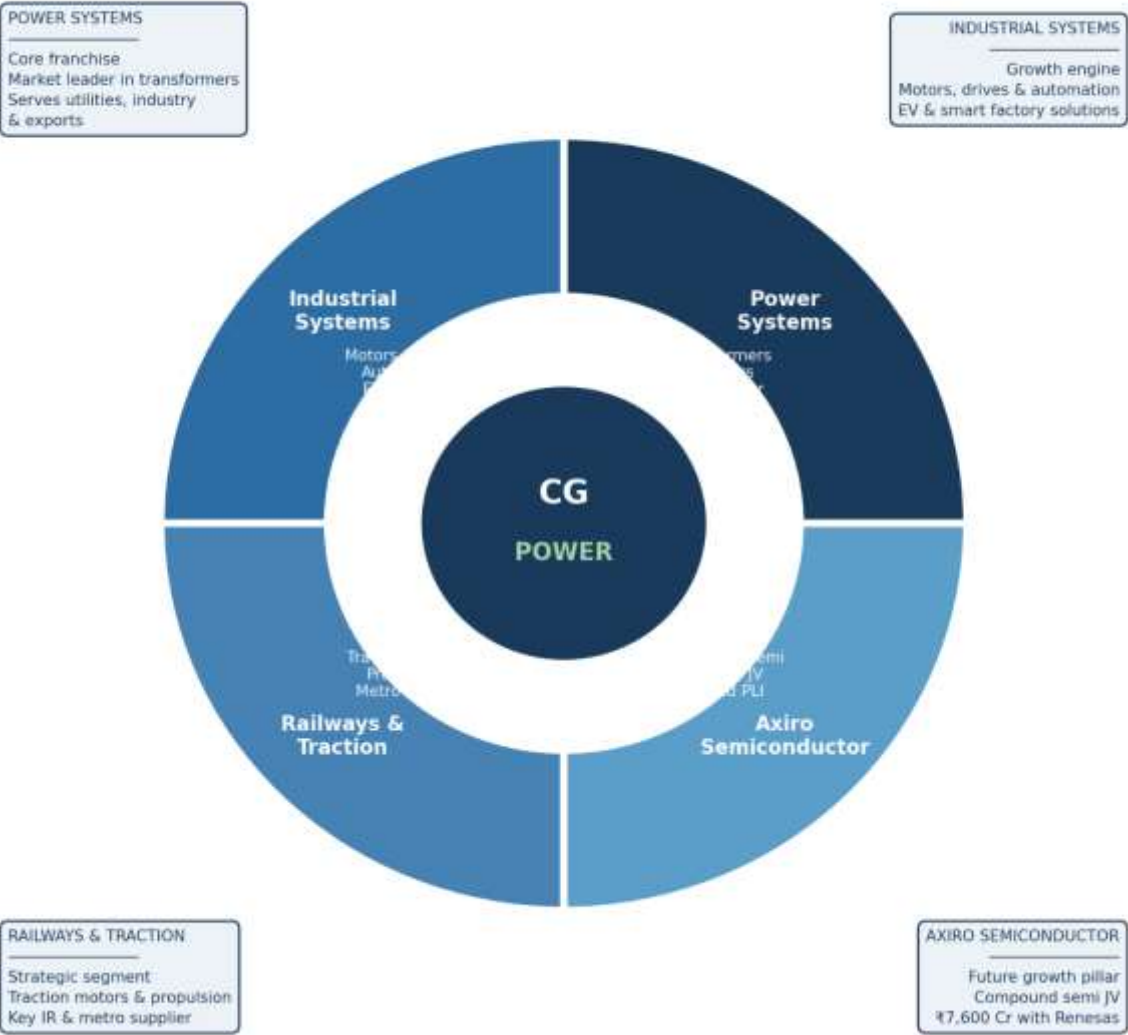
Incorporated in 1937 as Crompton Greaves, CG Power operates two core business segments: Power Systems (transformers, switchgear, and power quality products) and Industrial Systems (motors, drives, and rail transportation — traction motors, traction transformers, and railway signaling equipment). The company serves utilities, railways, infrastructure developers, and industrial customers across India and exports to over 40 countries.

Headquartered in Mumbai, CG Power operates manufacturing facilities in Bhopal, Nashik, Ahmednagar, Kanjurmarg, and Goa, supported by a robust network of regional offices, service centers, and dealer partners across India. The company has over 6,000 employees and is listed on both the NSE and BSE.

Under the Murugappa Group's stewardship, CG Power has undergone a structural transformation — eliminating legacy debt, streamlining operations, exiting non-core international businesses, and refocusing on high-margin domestic segments. The company's order book has grown consistently, reflecting the strong structural demand from India's power sector capex and railway modernization cycle.

Brand Portfolio

CG Power & Industrial Solutions - Segment Portfolio



CG POWER



Quarterly Performance Snapshot								
Particulars	FY 25				FY26E			Q4E
	Q1	Q2	Q3	Q4	Q1	Q2	Q3	
Net Revenue	2,228	2,413	2,516	2,753	2,878	2,923	3,175	—
YoY Growth (%)	18.9%	20.5%	27.1%	25.6%	29.2%	21.1%	26.2%	—
Operating Profit	327	295	331	347	381	377	362	—
OPM (%)	14.7%	12.2%	13.2%	12.6%	13.2%	12.9%	11.4%	—
Other Income	33	29	34	71	28	66	76	—
Interest	1	2	1	3	2	3	4	—
Depreciation	24	28	28	32	44	52	51	—
PBT	336	294	335	384	364	388	384	—
Tax (%)	28%	25%	29%	29%	27%	27%	26%	—
PAT	241	220	238	274	267	284	284	—
EPS (₹)	1.58	1.45	1.57	1.78	1.76	1.82	1.81	—

Source: Screener.in / Company Quarterly Results

Annual Performance Snapshot						
Particulars	FY21	FY22	FY23	FY24	FY25	
Net Revenue (₹ Cr)	2,964	5,484	6,973	8,046	9,909	
YoY Growth (%)	−42.0%	+85.0%	+27.2%	+15.4%	+23.1%	
Operating Profit (₹ Cr)	116	647	1,005	1,142	1,319	
OPM (%)	3.9%	11.8%	14.4%	14.2%	13.3%	
Other Income (₹ Cr)	1,655	569	286	684	162	
Interest (₹ Cr)	206	82	28	17	21	
Depreciation (₹ Cr)	138	99	95	95	112	
PBT (₹ Cr)	1,427	1,035	1,169	1,715	1,348	
Tax (₹ Cr)	132	122	206	288	373	
PAT (₹ Cr)	1,295	913	963	1,427	975	
YoY PAT Growth (%)	—	−29.5%	+5.5%	+48.2%	−31.7%*	
EPS (₹)	8.47	5.97	6.30	9.33	6.37	
ROCE (%)	8%	42%	61%	47%	37%	

*FY21 & FY24 PAT elevated by one-time Other Income. FY25 is clean recurring base.

Source: Screener.in / Company Annual Reports FY21-FY25

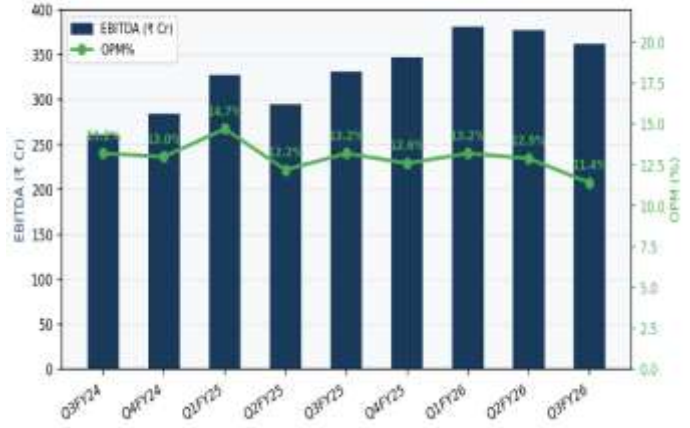
CG POWER

Insights through charts

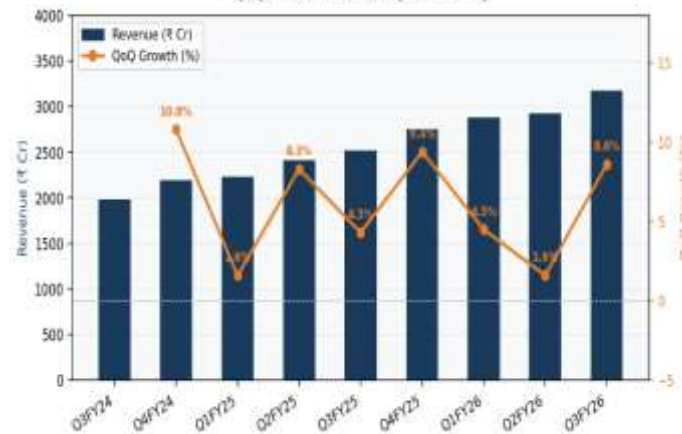
Quarterly Revenue & YoY Revenue Growth



EBITDA & Operating Profit Margin (%)



QoQ Revenue Growth (₹ Cr and %)



EBITDA (Operating Profit) & OPM % – Real Data



Quarterly Revenue Trend with YoY Growth Labels



PAT & PAT Margins (%) – Real Data



CG POWER



Quarterly Result Analysis – Q3 FY26 & Q2 FY26



Operating environment & demand signals:

- Steady demand in H1 before revised GST rates got implemented, which caused temporary disruption due to channel adjustment.
- The India business benefited ~30% from the GST reduction and the benefits were passed on to consumers through price cuts or grammage increase in relevant products.
- Estimated impact of GST transition on Q2 sales/volume is ~2%, due to inventory destocking.



Consolidated performance:

- 7% quarterly volume growth in India business despite trade channel disruptions
- Strong franchise growth with over 95% of the business retaining market share in Q2 & Q3 and penetration increasing from 75% in Q2 to 80% in Q3.
- India business' revenue growth hit multi-quarter highs, enhanced by price increase in core portfolios in response to sharp input cost inflation.
- International business maintained the double-digit constant currency growth which is expected to sustain in H2.



Channel Performance:

- E-commerce & quick commerce were the leading growth drivers with quick comm nearly doubling on a YoY basis.
- Traditional trade improved, led by consistent investments and targeted actions over the last two years.



Project SETU:

- Range expansion through sale of varied VAHO products in regions dominated by power brands, improving VAHO's growth trajectory.
- Improved operating leverage in VAHO due to SETU which has enabled to pivot from BTL to ATL strategy and disengage from low margin VAHO brands.
- Future execution areas involve:
 - Diversify beyond Parachute-dominant markets and close the gap between rural and urban Parachute share.
 - Increase urban presence in food, chemist, and cosmetic outlets (also enabling GT for select digital brands).
 - Reduce direct vs indirect coverage gap and increase automation.
- Resource reallocation by converting inefficiently spent BTL into ATL over 2-3 years, supporting offtake-led growth.
- ~30% goal is accomplished and the remaining 70% is targeted in the next 3-5 years.



Major strategic development: 4700BC investment:

- Strategic investment in 4700BC, a premium "better-for-you" gourmet snacking brand (popcorn, popped chips, makhana, crunchy corn, nachos with avocado oil).
- Aimed to fill a gap between Saffola (mass health), True Elements (clean label premium snacking), and Plix (nutra).
- Q1 ARR was Rs. 140 crores and the company is aspiring to reach 3x in the next three years.
- Incurred a loss of Rs. 12 Cr. in FY 25 but GC & CM2 was profitable.



Overall Outlook and Management Guidance:

- Target of ~25% consolidated revenue growth in CY, supported by pricing & operating margin expansion of ~150–200 bps.
- Double-digit EBITDA growth targeted for FY27, backed by easing cost pressures, with ARR scaling to Rs. 1,000+ Crores by FY 26.
- Sustain double-digit growth in A&P and possibility of slight increase in FY27.
- Confidently progressing towards Rs. 20,000 Crores revenue by FY30, emphasizing robust structure in terms of:
 - cost management
 - brand equity
 - brand building capability over the years

CG POWER



Commentary

CG Power is promoted by Tube Investments of India Ltd (TII), part of the Murugappa Group, holding 56.36% as of December 2025. Promoter holding has been stable since FY21 acquisition, reflecting long-term commitment. DII holding has risen sharply from 7.74% (Jun-23) to 17.52% (Dec-25), reflecting domestic mutual fund and insurance company accumulation. Mutual Fund holding specifically is 9.47% as of Dec-25, confirmed from BSE filing — with Axis ELSS Tax Saver Fund (1.76%), Motilal Oswal Flexi Cap Fund (1.52%), and Nippon India Growth Mid Cap Fund (1.13%) as top holders. FII holding has declined from 16.74% (Sep-23) to 12.02% (Dec-25), reflecting some profit-booking after the stock's 5-year return of ~764%. Public shareholding has steadily declined from 30.65% (Mar-21) to 13.53% (Mar-26) as institutional accumulation absorbed retail supply. Zero promoter pledging reported.

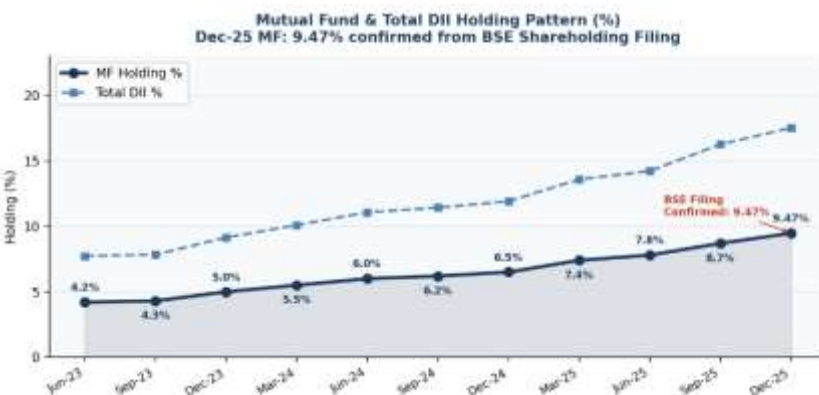


Yearly and Quarterly shareholding pattern of the company is as under:

Quarterly Shareholding Pattern (%)											
Category	Jun-23	Sep-23	Dec-23	Mar-24	Jun-24	Sep-24	Dec-24	Mar-25	Jun-25	Sep-25	Dec-25
Promoters	58.12%	58.12%	58.12%	58.11%	58.09%	58.07%	58.06%	58.06%	58.05%	56.37%	56.36%
FIIs	15.94%	16.74%	16.05%	15.18%	14.64%	14.58%	14.30%	12.97%	12.69%	13.02%	12.02%
DIIIs	7.74%	7.83%	9.15%	10.09%	11.07%	11.43%	11.91%	13.58%	14.22%	16.26%	17.52%
Public	18.18%	17.31%	16.69%	16.61%	16.19%	15.92%	15.73%	15.39%	15.02%	14.35%	14.05%

Yearly Shareholding Pattern (%)						
Category	Mar-21	Mar-22	Mar-23	Mar-24	Mar-25	Mar-26*
Promoters	53.24%	55.65%	58.12%	58.11%	58.06%	56.36%
FIIs	8.80%	13.23%	15.39%	15.18%	12.97%	12.03%
DIIIs	7.31%	5.28%	7.17%	10.09%	13.58%	18.01%
Government	0.00%	0.00%	0.00%	0.00%	0.00%	0.07%
Public	30.65%	25.84%	19.32%	16.61%	15.39%	13.53%

*Mar-26 = Dec-25 latest available | Source: Screener.in / BSE Shareholding Filing



Source: Company Analysis, Screener.in, Trendlyne

Shareholding Pattern - Dec 2025
Source: Screener.in | BSE Filing Dec-25





Management Analysis

Mr. M.A.M. ArunachalamChief

Below are details and experience of Management:

No.	Name and Designation	Qualification & Business Knowledge	Experience
1	 Mr. N. Vellayan Subbiah Non-Executive Chairman	Qualification-B.Tech (Civil Engineering), IIT Madras; MBA, University of Michigan Business Knowledge-Mr. Subbiah has over two decades of work experience in varied fields including consulting, technology, projects and financial services. He has worked with McKinsey and Company, 24/7 Customer Inc., and Sundram Fasteners Ltd. He is currently the Executive Vice Chairman of Tube Investments of India Limited and Chairman of Cholamandalam Investment and Finance Company Limited. He also serves on the Boards of SRF Ltd., Cholamandalam Financial Holdings Ltd., and Ambadi Investments Ltd.	Over 20+ years of cross-sector leadership experience. Recipient of the Extraordinary Entrepreneur of the Year – TIECON 2014 Award and the EY Entrepreneur of the Year 2023 Award at the 25th Anniversary of EY EOY India Awards, recognising his leadership in transforming businesses and seizing opportunities through acquisitions and diversifications. As the key architect of Murugappa Group's acquisition of CG Power in FY21, he oversaw one of India's most successful corporate turnarounds in the capital goods sector.
2	 Mr. Amar Kaul Managing Director & CEO	B.Tech (Mechanical Engineering), G.B. Pant University; MS (Engineering Business Management), Warwick University, UK; Executive Leadership Program, Stanford University Mr. Kaul has 30+ years of total work experience, having led global workforces across geographies and industry sectors. His expertise lies in strategy, global operations, product management, product development, and go-to-market strategy. Before joining CG Power, he was in executive leadership at Ingersoll Rand, leading the EMEA (Europe, Middle East, India and Africa) region for compression systems & services, and served as Chairman and Managing Director of Ingersoll Rand (India) Limited (listed company). He also held senior leadership positions at Bharat Forge Ltd. and Delphi Corporation.	<i>Experience:</i>30+ years across Capital Goods, Engineering, and Automotive sectors. Proven ability to strategize, execute, and manage high-growth P&L operations. Currently serves on the Board of Axiro Semiconductor Pvt. Ltd., CG Semi Pvt. Ltd., and G.G. Tronics India Pvt. Ltd.
3	Mr. M.A.M. Arunachalam Chief Non-Exec Non-Independent	MBA, University of Chicago, USA Mr. Arunachalam is a senior member of the Murugappa family and currently serves as Executive Chairman of Tube Investments of India Limited and Chairman of Cholamandalam Home Finance Limited. He has over 25 years of experience in varied industrial activities. He also serves on the Boards of Cholamandalam Investments and Finance Company Ltd., Shanthi Gears Ltd., and Ambadi Investments Ltd., among others.	<i>Experience:</i> 25+ years in industrial and financial services leadership within the Murugappa Group ecosystem. Key promoter-group representative on the CG Power board.
4	Mr. P.S. Jayakumar Independent	<i>Qualification:</i>M.Com, University of Chennai; Chartered Accountant (ICAI); MBA, XLRI Jamshedpur; Gurukul Chevening Scholar, London School of Economics. Mr. Jayakumar started his career as a Management Associate at Citibank and rose to become Co-Head of Citibank India (Consumer Banking). He subsequently co-promoted VBHC Value Homes and Home First India. He served as Managing Director of Bank of Baroda from 2015 to 2019. Currently, he is Senior Advisor at India Advisory Board, Mastercard India, and Board of Governor of Indian Institute of Corporate Affairs.	<i>Experience:</i>Extensive experience in banking, consumer finance, and financial services. Currently also serves on the Boards of Emcure Pharmaceuticals Ltd., HT Media Ltd., Adani Ports and Special Economic Zone Ltd., Northern ARC Capital Ltd., JM Financial Ltd., and ICRA Ltd., among others.



MD & CEO Remuneration — FY25 (Annual Report)				
Name	Designation	Salary & Allowances (₹)	Perquisites (₹)	Total (₹)
Mr. Amar Kaul	MD & CEO	3,85,91,385	31,43,904	4,17,35,289

Note: Mr. Amar Kaul was also granted 9,00,000 ESOPs under Employee Stock Option Scheme 2021 at exercise price ₹697.10 per equity share during FY25.

Source: Annual Report FY25 — Director Remuneration Disclosure

Individual Director Attendance — FY25			
Director	Category	Meetings Attended	AGM
Mr. Vellayan Subbiah	Non-Exec; Non-Indep; Chairman	7/7	Yes
Mr. M.A.M. Arunachalam	Non-Exec; Non-Indep	7/7	Yes
Mr. P.S. Jayakumar	Non-Exec; Indep	6/7	Yes
Mr. Sriram Sivaram	Non-Exec; Indep	7/7	Yes
Mrs. Vijayalakshmi R. Iyer	Non-Exec; Indep	6/7	Yes
Mr. Natarajan Srinivasan***	MD (retired)	3	Yes
Mr. Mammen Chally\$	Non-Exec; Indep	2	NA
Mr. Amar Kaul\$\$	MD & CEO	4	NA

***Retired 24 July 2024 | \$\$ Appointed 25 July 2024

Source: Annual Report FY25 — Corporate Governance Report

Non-Executive Director Remuneration — FY25		
Name	Sitting Fees (₹)	Commission (₹)
Mr. Vellayan Subbiah	8,10,000	15,00,000
Mr. M.A.M. Arunachalam	5,60,000	1,00,00,000^
Mr. Kalyan Kumar Paul*	1,50,000	6,69,863
Mr. P.S. Jayakumar	7,00,000	15,00,000
Ms. Sasikala Varadachari**	3,60,000	6,98,630
Mr. Sriram Sivaram	4,70,000	15,00,000
Mrs. Vijayalakshmi R. Iyer	7,40,000	15,00,000
Mr. Mammen Chally\$	1,00,000	2,58,904

^Subject to shareholder approval | *Ceased 10 Sep 2024 | **Ceased 17 Sep 2024 | \$Appointed 28 Jan 2025

Source: Annual Report FY25 — Director Remuneration Disclosure

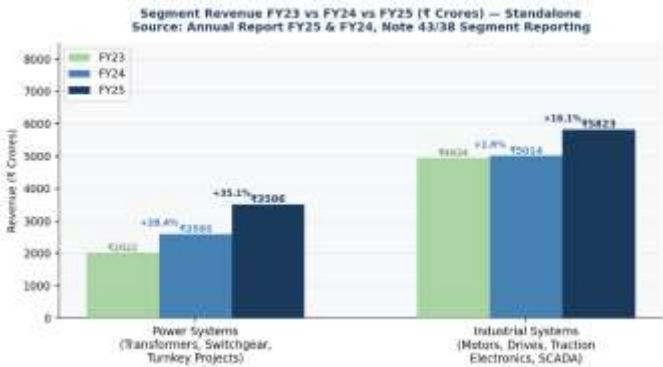
Commentary

Revenue

CG Power's consolidated revenue grew from ₹2,964 Cr (FY21) to ₹9,909 Cr (FY25), a CAGR of approximately 35% — one of the strongest recoveries in India's capital goods sector post the Murugappa Group turnaround. Revenue growth of 23.1% in FY25 was broad-based across both segments..



*Geographic split (standalone, Note 43): Domestic revenue grew from ₹7,055 Cr (FY24) to ₹8,821 Cr (FY25), growth of 25.0%. Overseas revenue declined marginally from ₹555 Cr (FY24) to ₹508 Cr (FY25) on standalone basis. Domestic dominance (94.6% of standalone FY25) reflects India's strong capex cycle. Consolidated overseas revenues will be higher, including CG Drives & Automation (Sweden, Germany, Netherlands) and other international subsidiaries.

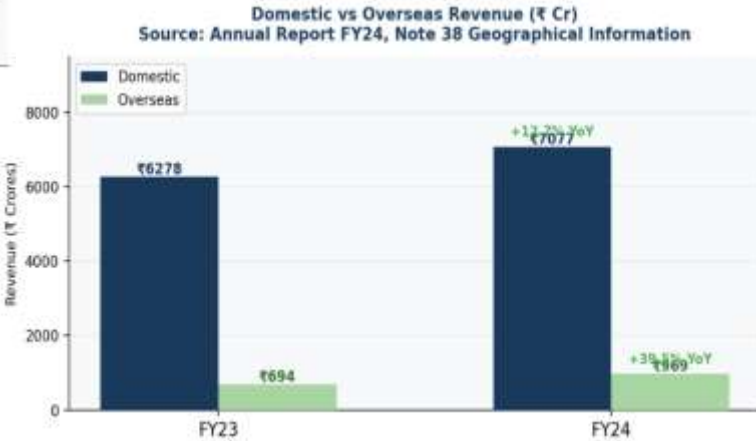


Source: Company Analysis



On a standalone basis (Note 43, Annual Report FY25), Power Systems revenue grew from ₹2,595 Cr (FY24) to ₹3,506 Cr (FY25) — growth of 35.1% — reflecting the transformer supercycle driven by India's T&D infrastructure push. Power Systems' share of standalone revenue rose from 34.1% (FY24) to 37.6% (FY25). Industrial Systems revenue grew from ₹5,015 Cr (FY24) to ₹5,823 Cr (FY25) — growth of 16.1%. Industrial Systems remains the larger segment at 62.4% of standalone revenue, driven by motors, drives, railway traction and SCADA.

CG Power Segment Revenue Mix - FY25
Source: Annual Report FY25, Note 43 Segment Reporting
*Standalone revenue; Consolidated FY25 = ₹9,909 Cr



CG POWER

Commentary

Margins

CG Power's EBITDA (Operating Profit) margins recovered dramatically from 3.9% (FY21) to a peak of 14.4% (FY23), and have since stabilized at 13.3% (FY25) — a healthy, structurally improved range compared to the pre-turnaround era when margins were sub-2%.

The moderation from 14.4% (FY23) to 13.3% (FY25) reflects: (1) revenue mix shift towards EPC/turnkey contracts in Power Systems which carry lower margins than products; (2) commodity cost increases (copper, CRGO steel) in H2FY24 and FY25; (3) higher employee costs as the company rebuilt and expanded its workforce. These are structural, manageable pressures — not fundamental deterioration.

Compared to peers (Screener.in, May 2026): CG Power's OPM of 13.3% is higher than BHEL (5%) and Thermax (9%), broadly in line with Siemens India (12%), and below ABB India (~18%). ABB and Siemens operate with higher services revenue mix which carries structurally better margins.

Interest coverage has dramatically improved to 65.07x (FY25, Tijori Finance) from negative levels in FY19-20, reflecting the complete elimination of the debt burden.

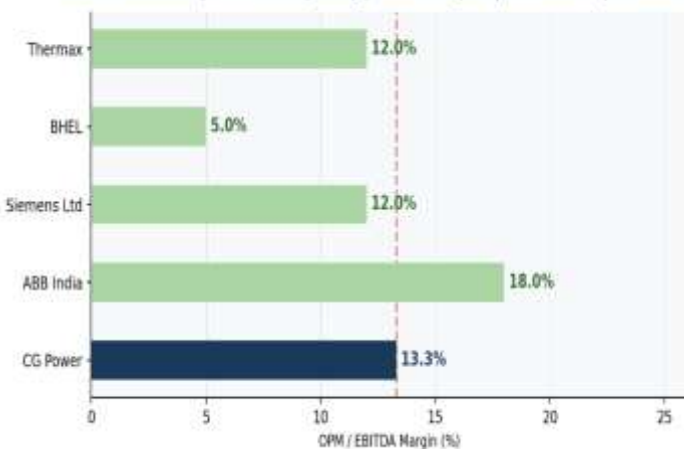
EBITDA & EBITDA Margins (%) | Source: Annual Reports / Screener.in



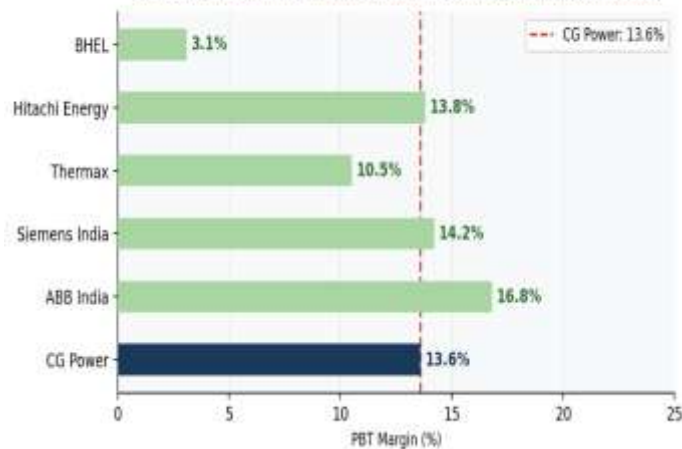
PBT & PBT Margins (%) | Source: Annual Reports / Screener.in



Peer EBITDA Margin Comparison - FY25 (%)
Source: Screener.in | ABB=Dec-25 qtrs avg | Siemens=Sep-25 | BHEL=Mar-25 | Thermax=FY25



Peer PBT Margin Comparison - FY25 (%)
Source: Screener.in / Company Annual Reports (estimates for peers)

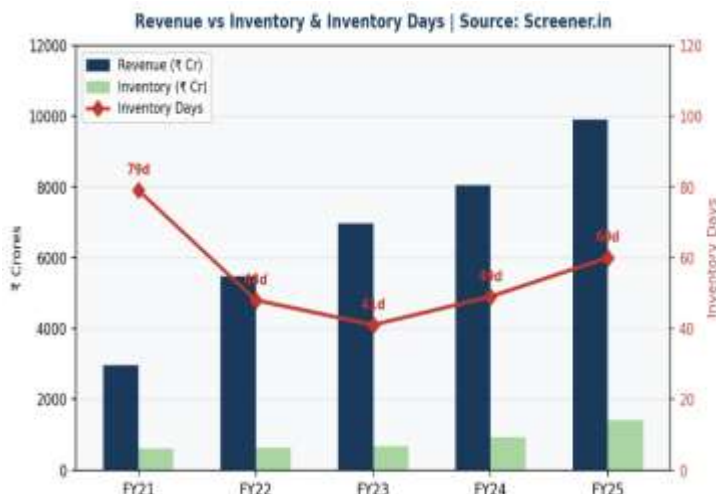


CG POWER

Commentary

Inventory

CG Power's inventory days improved structurally from 79 days (FY21) to a low of 41 days (FY23), and have since risen to 60 days (FY25) as revenue acceleration required advance raw material stocking. The FY25 level of 60 inventory days is appropriate for a capital goods manufacturer with long manufacturing cycles (power transformers take 8–16 weeks to build depending on MVA rating).



The FY21 level of 79 days reflected post-turnaround lean inventory management during the demand recovery phase. Since FY22, inventory has grown in line with revenue as execution ramp-up required advance procurement of copper, CRGO steel, and insulation materials.

The improvement from historical highs (128 days in FY15, 85 days in FY18) to the current 60 days reflects structural improvement in inventory management under the new Murugappa Group management.

Inventory Days — Confirmed (Screener.in)

Particulars	FY21	FY22	FY23	FY24	FY25
Revenue (₹ Cr)	2,964	5,484	6,973	8,046	9,909
Inventory Days	79	48	41	49	60

Source: Screener.in Ratios (Consolidated) — Inventory Days confirmed

CG POWER

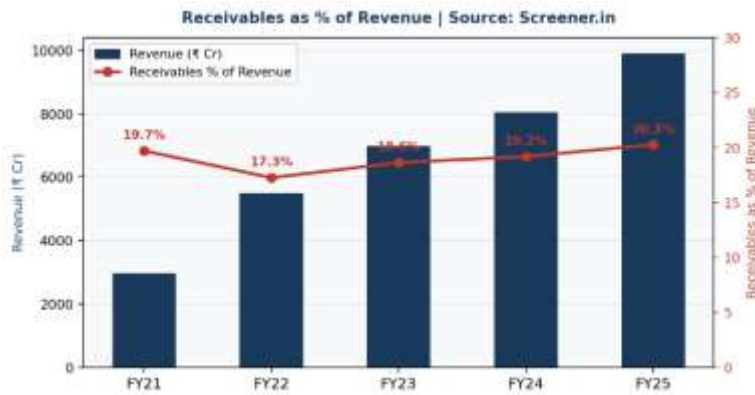
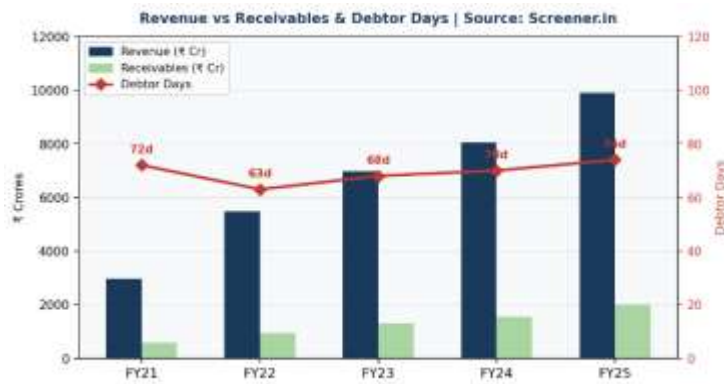
Commentary

Receivables

CG Power's debtor days have been broadly stable in the 63–74 day range over FY22–FY25, which is normal and healthy for India's capital goods sector where government utilities (state electricity boards, railways) typically pay on 60–90 day terms.

The high debtor days in FY15 (194 days) and FY16 (144 days) were a legacy of the pre-turnaround governance issues and weak collection practices. The sharp improvement to 37 days (FY20) reflected the early cash conservation efforts during the financial stress period. Post-turnaround (FY21 onwards), debtor days have stabilised at a healthy 63–74 day range reflecting normal business collections from creditworthy customers.

Receivables quality is structurally better than the pre-turnaround era — current debtors are primarily government utilities (PGCIL, state DISCOMs) and large private industrial customers, which carry minimal credit risk.



Debtor Days — Confirmed (Screener.in)

Particulars	FY21	FY22	FY23	FY24	FY25
Revenue (₹ Cr)	2,964	5,484	6,973	8,046	9,909
Debtor Days	72	63	68	70	74

Source: Screener.in Ratios (Consolidated) — Debtor Days confirmed

CG POWER



Commentary

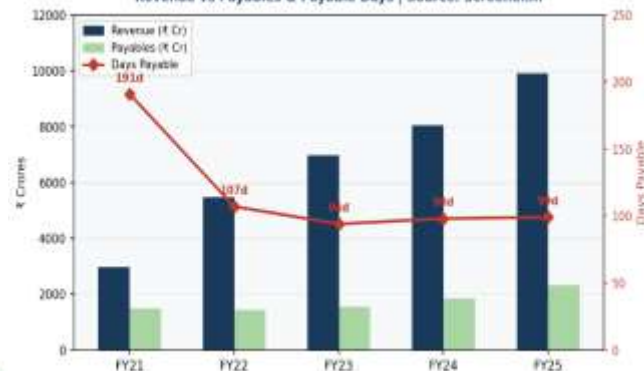
Payables

CG Power's days payable has declined from 191 days (FY21) to 99 days (FY25) — a major positive signal. The 191-day FY21 figure was a legacy of the financial stress era when the company was delaying supplier payments due to acute cash constraints. The normalisation to ~99 days reflects CG Power's restored financial health and its ability to honour supplier commitments on time.

Payables as % of COGS | Source: Screener.in



Revenue vs Payables & Payable Days | Source: Screener.in



Timely payment to suppliers is strategically important for CG Power: reliable supply of copper, CRGO (Cold-Rolled Grain-Oriented) steel, insulation materials and transformer oil is critical for meeting growing order commitments. Strong supplier relationships — built on payment discipline — translate directly into better procurement terms, material quality and delivery reliability.

At 99 days, payable days are in line with capital goods industry norms (60–120 days for raw material suppliers). The company has not used aggressive payables extension as a working capital lever — reflecting financial discipline.

Days Payable — Confirmed (Screener.in)

Particulars	FY21	FY22	FY23	FY24	FY25
Days Payable	191	107	94	98	99

Source: Screener.in Ratios (Consolidated) — Days Payable confirmed

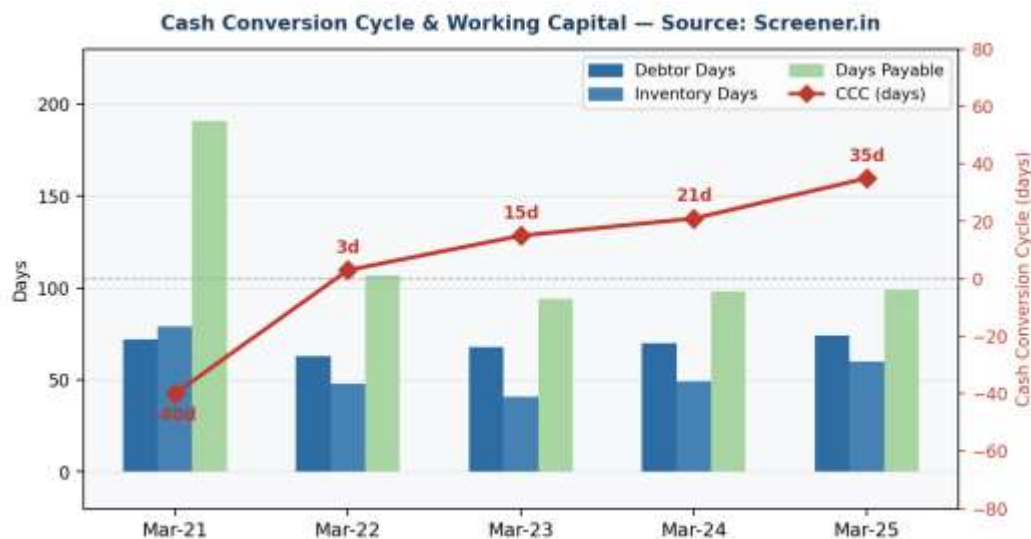
CG POWER



Commentary

Cash Conversion Cycle

CG Power's Cash Conversion Cycle (CCC) has moved from -40 days (FY21) to +35 days (FY25). The negative CCC in FY21 reflected abnormally extended payable days (191 days) — the company was being funded by suppliers during its financial distress. As payables normalised, CCC turned positive. The current 35-day CCC is healthy for a capital goods manufacturer.



Cash Conversion Cycle & Working Capital Detail

Metric	FY21	FY22	FY23	FY24	FY25
Debtor Days	72	63	68	70	74
Inventory Days	79	48	41	49	60
Payable Days	191	107	94	98	99
CCC (days)	-40	3	15	21	35
Working Capital Days	-207	-62	4	8	16

Source: Screener.in Ratios (Consolidated)

CRISIL View – Key Highlights

CG Power's transformation from a financially distressed entity to a zero-debt, high-ROCE capital goods leader is complete. Working capital metrics have normalised, balance sheet is pristine (Net Cash ₹1,218 Cr, Debt ₹41 Cr), and return ratios are sector-leading (ROCE 37%). The key monitorable is EBITDA margin sustainability as the Power Systems EPC/turnkey mix increases. The Axiro semiconductor JV represents significant long-term optionality with execution and timeline risk. Order book of ₹15,753 Cr (+62% YoY) provides multi-year revenue visibility.



ROE DuPont Analysis — Real Data			
Particulars	FY23	FY24	FY25
Net Profit (₹ Cr)	963	1,427	975
Avg Shareholders Equity (₹ Cr)	1,397*	2,404*	3,431*
ROE	68.9%	59.4%	27.7%
Net Profit Margin (A)	13.8%	17.7%	9.84%
Asset Turnover (B)	~1.7x	~1.5x	~1.6x
Equity Multiplier (C)	~2.9x	~2.2x	~1.8x
ROE = A×B×C	68.9%	59.4%	27.7%

*Equity computed from Annual Report: FY24=₹3,245 Cr | FY25=₹4,069 Cr (standalone)

Source: Screener.in; Tijori Finance; Annual Reports

ROA — Real Data (Tijori Finance)				
Metric	FY22	FY23	FY24	FY25
ROA (%)	25.35%	22.73%	26.09%	13.15%

*Equity computed from Annual Report: FY24=₹3,245 Cr | FY25=₹4,069 Cr (standalone)

Source: Tijori Finance

ROCE — Real Data (Screener.in)					
Metric	FY21	FY22	FY23	FY24	FY25
ROCE (%)	8%	42%	61%	47%	37%

Source: Screener.in Ratios

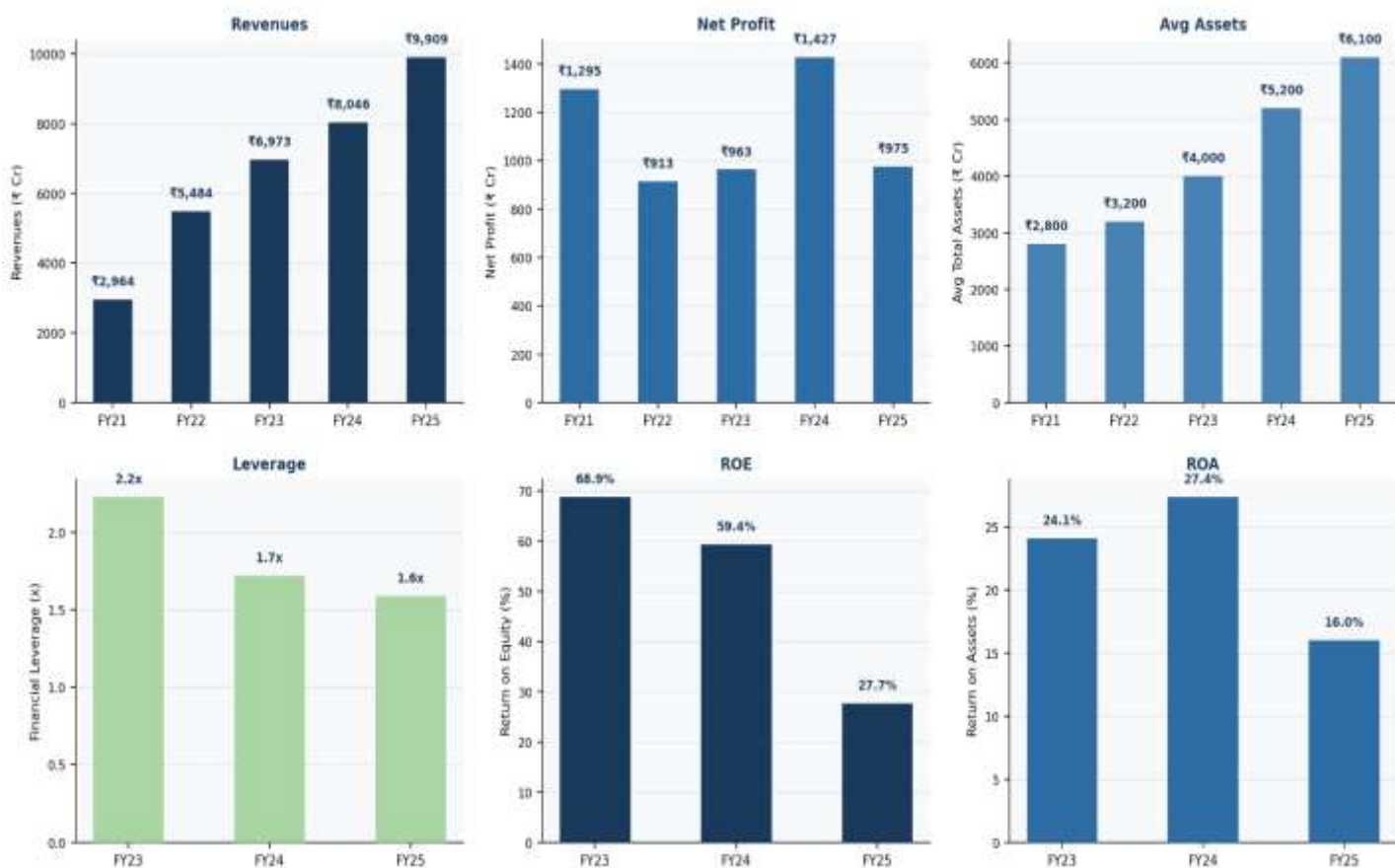
Note: ROE declining trend = equity base growing faster than profits (positive sign of balance sheet strengthening). ROA FY25 lower due to large unallocated assets (investments, cash holdings per Note 43 ₹2,871 Cr).

Source: Screener.in (ROCE); Tijori Finance (ROA, Net Margin); Annual Report FY25 (Equity)

CG POWER

Financial Summary

Financial Summary - CG Power & Industrial Solutions Ltd
Source: Annual Reports FY21-FY25 / Screener.in



Revenues (₹ Cr): ₹2,964 Cr (FY21) → ₹9,909 Cr (FY25). ~35% CAGR. Turnaround from pandemic and governance crisis to multi-year structural growth.

Net Profit (₹ Cr): FY21 PAT of ₹1,295 Cr and FY24 PAT of ₹1,427 Cr are elevated by one-time Other Income. FY25 recurring PAT of ₹975 Cr is the clean operational base.

OPM (%): Margin recovery from 3.9% (FY21) to stable 13–14% band (FY22-FY25). Reflects Project UNNATI, pricing discipline and operating leverage.

ROCE (%): 8% (FY21) → 61% (FY23) → 37% (FY25). Peak in FY23 reflects low capital base vs high profits. FY25 normalisation as equity base expands.

ROE (%): Not meaningful for FY21 (negative equity). FY23–FY25: 68.9% → 59.4% → 27.7%. Declining trend is structural normalisation — equity growing fast.

ROA (%): 35.35% (FY21) → 13.15% (FY25). Declining as asset base expands with business scale — normal for a growing company.

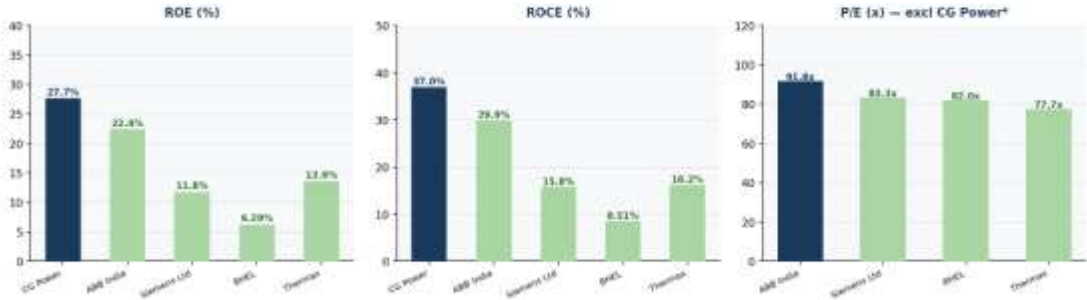
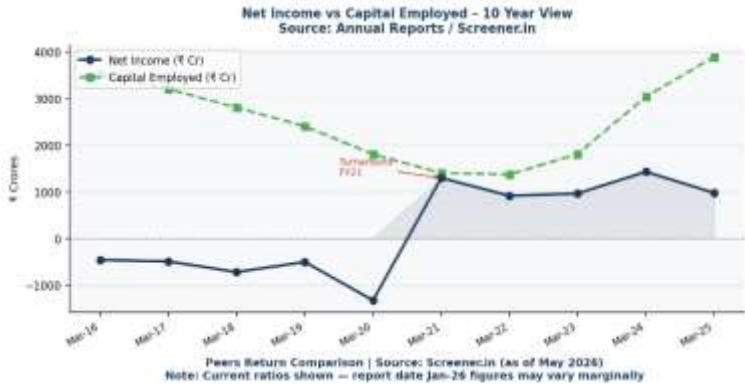
Source: Screener.in; Tijori Finance; Annual Reports FY21–FY25

CG POWER



Peers Comparison (Screener.in, May 2026)					
Ratio	CG Power	ABB India	Siemens Ltd	BHEL	Thermax
ROE (%)	27.7%	22.4%	11.8%	6.29%	13.6%
ROCE (%)	37.0%	29.9%	15.8%	8.51%	16.2%
P/E (x)	100x*	91.8x	83.3x	82.0x	77.7x
OPM (%)	13.3%	~18%	12%	5%	9%

*CG Power P/E from Tijori Finance (FY25); Peers from Screener.in as of 4 May 2026



ROIIC Summary – FY21 to FY25	
Metric	Value
Cumulative Net Income FY21–FY25	₹5,573 Cr
Incremental Capital FY21–FY25	₹2,484 Cr
ROIIC	~224%
Stock Price 5Y CAGR	~+764% (₹65 to ₹562 — Jan-21 to Jan-26)

Source: Screener.in; Tijori Finance; Annual Reports

ROIIC Table (₹ Cr)					
Particulars	FY21	FY22	FY23	FY24	FY25
Net Income	1,295	913	963	1,427	975
Capital Employed*	1,400	1,370	1,807	3,034	3,884

*Approximate — from ROCE and EBIT data

Source: Screener.in; Tijori Finance; Annual Reports



Ratio Analysis

Profitability Ratios (Screener.in + Tijori Finance)						
Ratio	FY21	FY22	FY23	FY24	FY25	Trend
Sales Growth	-42.0%	+85.0%	+27.2%	+15.4%	+23.1%	↑
OPM %	3.91%	11.79%	14.42%	14.20%	13.31%	→
Net Profit Margin %	43.70%*	16.64%	13.81%	17.74%*	9.84%	↓
ROCE %	8%	42%	61%	47%	37%	↓
ROA %	35.35%*	25.35%	22.73%	26.09%*	13.15%	↓
ROE %	N/M	N/M	68.9%	59.4%	27.7%	↓
Adjusted EPS (₹)	9.68	6.33	6.30	9.34	6.37	→

*Elevated due to one-time Other Income in FY21 (₹1,655 Cr) and FY24 (₹684 Cr)

Source: Screener.in (Ratios); Tijori Finance (ROIC, D/E, Current Ratio, Interest Coverage, EV/EBITDA, P/E, P/B)

Efficiency Ratios (Screener.in)						
Ratio	FY21	FY22	FY23	FY24	FY25	Trend
Debtor Days	72	63	68	70	74	→
Inventory Days	79	48	41	49	60	↑
Days Payable	191	107	94	98	99	↓
CCC (days)	-40	3	15	21	35	↑
Working Capital Days	-207	-62	4	8	16	↑
Fixed Asset Turnover	1.32x	2.54x	3.45x	3.66x	3.61x	→

Source: Screener.in Ratios (Consolidated)

Leverage Ratios (Tijori Finance)						
Ratio	FY21	FY22	FY23	FY24	FY25	Trend
Debt/Equity	-17.29x*	0.35x	0.00x	0.00x	0.00x	↓
Current Ratio	0.60x	0.86x	1.36x	1.66x	1.68x	↑
Quick Ratio	0.48x	0.68x	1.11x	1.35x	1.32x	↑
Interest Coverage	7.94x	10.22x	36.57x	70.32x	65.07x	↑
FCF/Sales	-8.68%	7.54%	12.41%	10.00%	5.24%	↓

*FY21 D/E negative because equity was negative (legacy losses)

Source: Screener.in (Ratios); Tijori Finance

Capital Allocation Ratios						
Ratio	FY21	FY22	FY23	FY24	FY25	Trend
ROCE %	8%	42%	61%	47%	37%	↓
ROIC %	2.64%	189%	66.69%	58.72%	37.82%	↓
EV/EBITDA	43.42x	39.68x	42.05x	65.37x	65.06x	→

Source: Screener.in (Ratios); Tijori Finance (ROIC, EV/EBITDA, P/E, P/B)

CG POWER



Cash Ratios — FY24-FY25 Real; FY21-22 Partly Confirmed

Ratio	FY21	FY22	FY23*	FY24	FY25
OCF (₹ Cr)	-242.20	451.56	-750	962.51	960.43
Capex (₹ Cr)	17.67	61.41	-95	195.47	253.55
FCF (₹ Cr)	-259.87	390.15	-655	767.04	706.88
FCF Growth (%)	—	N/M	N/M	+17.1%	-7.8%
FCF/Sales	-8.8%	7.1%	9.4%	9.5%	7.1%
Dividend Paid (₹ Cr)	—	—	—	198.55	198.75

*FY23 estimated; FY21 Consolidated AR; FY22 Standalone AR; FY24-25 Standalone AR

Source: Screener.in; Tijori Finance; Annual Reports

Valuation Ratios — Real (Tijori Finance)

Ratio	Mar-21	Mar-22	Mar-23	Mar-24	Mar-25
EV/EBITDA	43.42x	39.68x	42.05x	65.37x	65.06x
P/E	6.91x	29.90x	47.60x	57.79x	100x
P/B	N/M*	27.76x	25.68x	27.53x	25.61x
Dividend Yield	0.00%	0.00%	0.00%	0.50%	0.24%

*P/B N/M in Mar-21 because book value was negative (legacy losses)

Source: Tijori Finance

Commentary: CG Power's EV/EBITDA has re-rated significantly from 43x (FY21, post-turnaround) to 65x (FY25), reflecting the market's recognition of the order book momentum, Axiro semiconductor optionality, and zero-debt balance sheet. At 65x EV/EBITDA, the stock trades at a significant premium to capital goods peers (ABB India, Siemens India trade at 40–55x EV/EBITDA range), implying the market is pricing in substantial future growth and optionality.

Source: Tijori Finance (confirmed); Annual Report FY25 (Cash Flows)

EV/EBITDA Historical — CG Power
Source: Tijori Finance (Consolidated) | Peer median is estimate

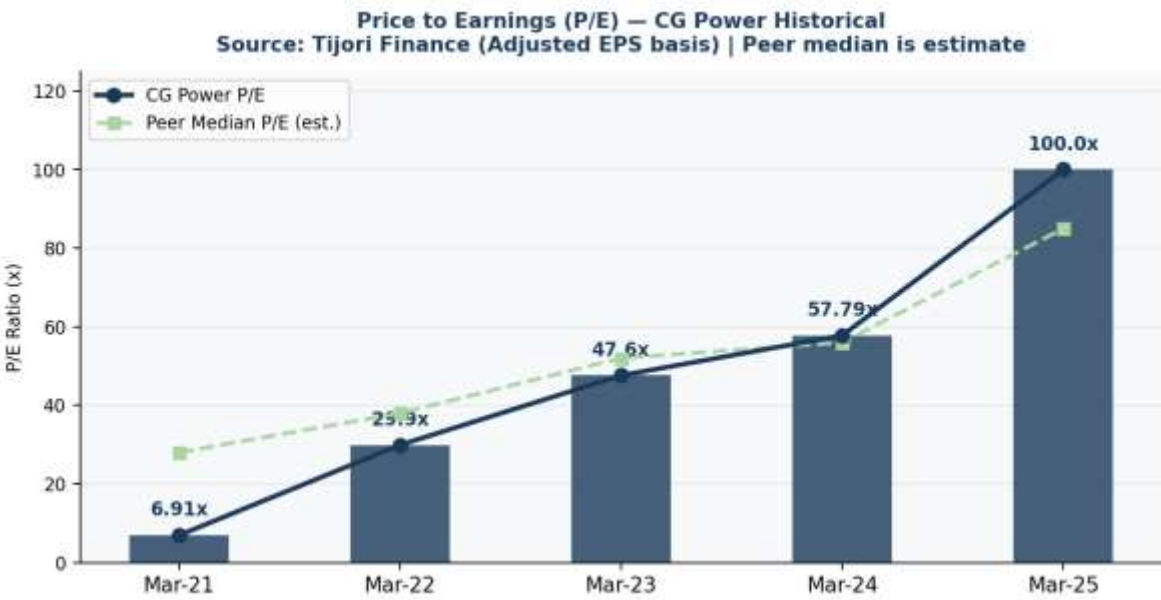


CG Power's EV/EBITDA has re-rated significantly from 43x (FY21, post-turnaround) to 65x (FY25), reflecting the market's recognition of the order book momentum, Axiro semiconductor optionality, and zero-debt balance sheet. At 65x EV/EBITDA, the stock trades at a significant premium to capital goods peers (ABB India, Siemens India trade at 40–55x EV/EBITDA range), implying the market is pricing in substantial future growth and optionality.

Source: Tijori Finance (confirmed); Annual Report FY25 (Cash Flows)

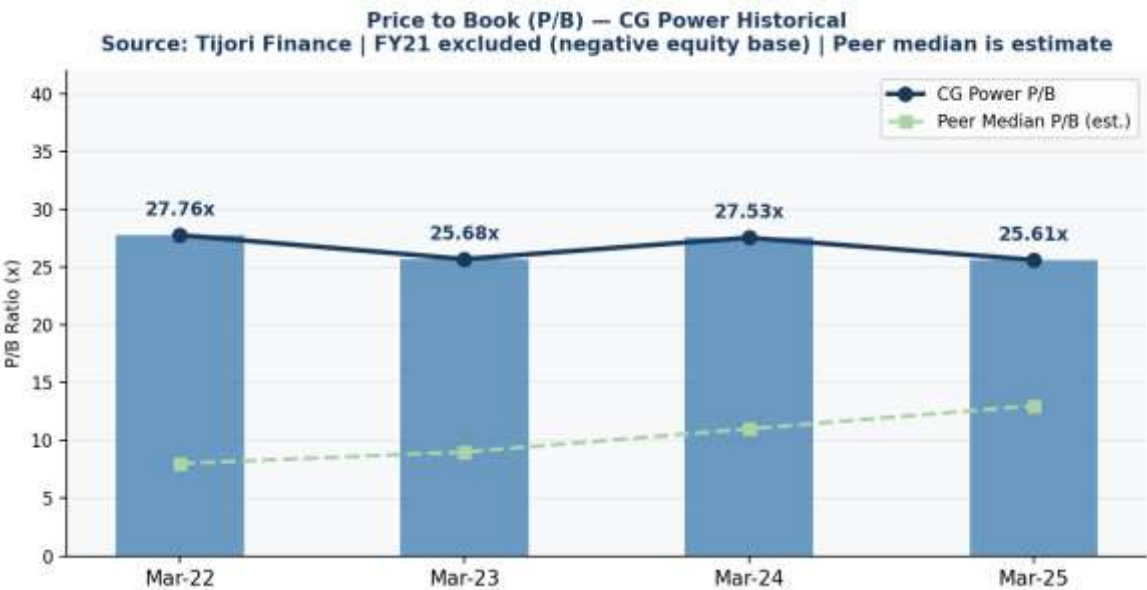


Price to Earnings (P/E)



CG Power's P/E has expanded from 6.91x (FY21 — artificially low due to large Other Income boosting PAT) to 100x (FY25 — on reported PAT of ₹975 Cr). On normalised operating PAT excluding one-time items, the P/E is approximately 65–70x. At CMP ₹562 (Jan-26 report date), the stock trades at ~88x trailing PAT. Peers: ABB India 91.8x, Siemens 83.3x, BHEL 82.0x, Thermax 77.7x (Screener.in, May 2026). CG Power's premium vs BHEL and Thermax reflects superior ROCE, zero debt, and order book quality.

Price to Book (P/B)

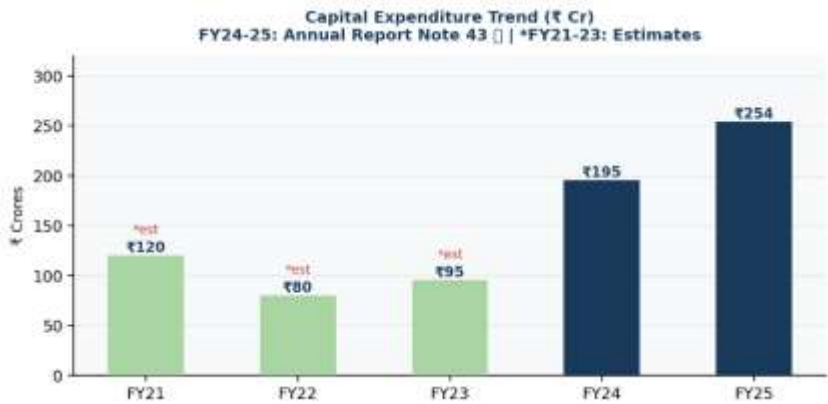


P/B has remained in the 25–28x range since FY22, even as equity base has grown from ₹1,003 Cr (FY22) to ₹4,069 Cr (FY25). This sustained premium P/B despite equity growth reflects the market's confidence in CG Power's ability to generate high returns on equity. At 25.61x P/B (FY25), CG Power is valued at a structural premium to BHEL (~5x P/B) and Thermax (~12x P/B), reflecting fundamentally different return profiles.

Source: Tijori Finance (confirmed)

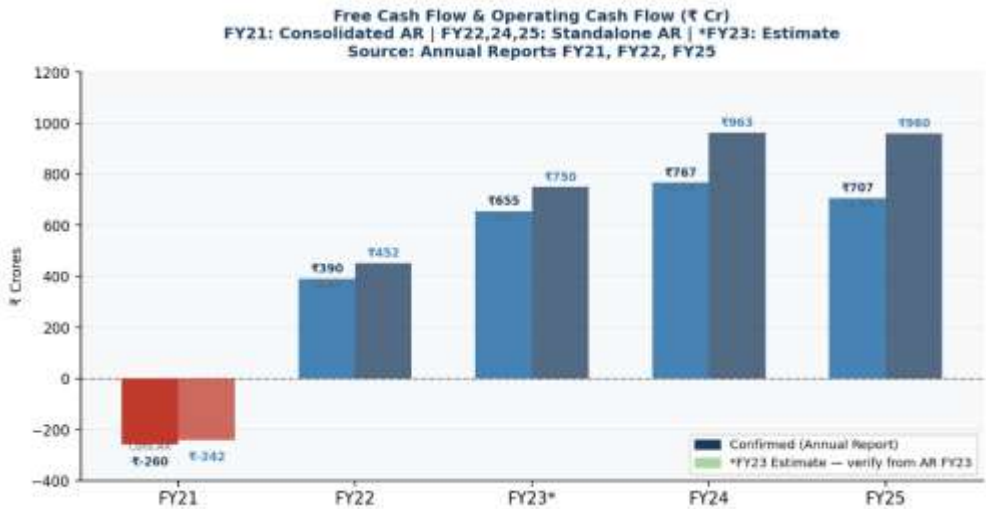


Cash Ratios



Free Cash Flow

CG Power's free cash flow generation has been consistently positive since FY22, following the elimination of debt (which previously consumed significant cash for interest and repayment). FY24 FCF of ₹767 Cr and FY25 FCF of ₹707 Cr (confirmed from Standalone Cash Flow Statement) reflect healthy cash generation after capex. FCF declined 7.8% YoY in FY25 as capex stepped up from ₹195 Cr (FY24) to ₹254 Cr (FY25) for Power Systems capacity expansion. FCF/Sales of 7.1% (FY25) is healthy for a capital goods manufacturer.



Operating Cash Flow

OCF has stabilised at approximately ₹960 Cr for both FY24 and FY25 — remarkably stable despite 23% revenue growth. This stability reflects significant working capital absorption: trade receivables increased ₹407 Cr and inventories increased ₹344 Cr in FY25 (Standalone Cash Flow Statement). Operating profit before working capital changes was ₹1,304 Cr in FY25 — healthy conversion, moderated by working capital build for growing order book execution. The company paid dividends of ₹198.75 Cr in FY25 (₹1.30/share) — confirming initiation of a progressive dividend policy post-turnaround.

*Source: Standalone Statement of Cash Flows, Annual Report FY25 (FY24-25 confirmed); Annual Report FY21 Consolidated (FY21 confirmed); Annual Report FY22 Standalone (FY22 confirmed); FY23 estimated

CG POWER



Valuation

Comparable Company Analysis (CCA)							
Company	CMP (₹)	MCap (₹Cr)	Revenue (₹Cr)	EBITDA (₹Cr)	PAT (₹Cr)	EV/EBITDA	P/E
CG Power	562	85,924	9,909	1,319	975	65.1x	88.1x
ABB India	7,236	1,53,368	-12,600*	-2,268*	-1,670*	-60x*	91.8x
Siemens Ltd	3,834	1,36,197	-22,240*	-2,669*	-2,106*	-46x*	83.3x
BHEL	377	1,31,295	-28,339*	-1,399*	-534*	-88x*	82.0x
Thermax	4,180	49,781	-10,389*	-910*	-627*	-50x*	77.7x

CG Power row is 100% real. Peer rows estimated — verify from Screener.in/Annual Reports.

Source: NSE (CMP/MCap); Screener.in; Tijori Finance

DCF WACC Inputs			
Cost of Debt		Cost of Equity	
Pre-Tax Cost of Debt	~8.5%	Risk Free Rate (10Y G-Sec, Apr-26)	~6.85%
Tax Rate	27.7%	Beta (CG Power)	~0.85*
Post-Tax Cost of Debt	~6.15%	Equity Risk Premium	~8.5%*
		Cost of Equity	~14.1%

*Beta and ERP are estimates. Verify beta from NSE/Bloomberg. Use Damodaran India ERP from pages.stern.nyu.edu/~adamodar.

*Estimated from Screener.in P&L data — verify from annual reports

Source: CG Power Annual Report FY25; NSE; Screener.in; G-Sec rate approximate

Capital Structure (WACC Computation)	
Component	Value
Market Value Equity	₹85,924 Cr
Market Value Debt	₹41 Cr
Equity Weight	99.95%
Debt Weight	0.05%
WACC	~14.1%

Source: CG Power Annual Report FY25 (revenue/EBITDA/PAT/Debt); NSE (market cap);

Screener.in (peer P/E); G-Sec rate approximate

CG POWER



DCF Key Assumptions		
Assumption	FY26E-FY30E	FY31E-FY35E
Revenue CAGR	~22%	~12%
EBITDA Margin	13-14%	14-15%
WACC	14.1%	14.1%
Terminal Growth	5.0%	—

All projections are academic estimates. Not a recommendation.

Source: CG Power Annual Report FY25; Screener.in; Analyst estimates

FCFF Projections – Academic Estimates

Particulars	FY25A	FY26E	FY27E	FY28E	FY29E	FY30E
Revenue (₹ Cr)	9,909	12,200	14,900	18,200	22,200	27,000
EBITDA (₹ Cr)	1,319	1,684	2,086	2,548	3,108	3,780
FCF est. (₹ Cr)	707	835	1,053	1,310	1,618	1,982
PV Factor (14.1%)	—	0.877	0.769	0.674	0.591	0.518
PV of FCF	—	732	810	883	956	1,027

All estimates — academic exercise only. Not a recommendation.

Source: CG Power Annual Report FY25 (FY25A); Analyst projections (FY26E-FY30E)

DCF Summary	
Component	Value
Stage 1: Sum of PV (FY26-FY30)	₹4,408 Cr
Terminal Value	₹21,725 Cr
PV of Terminal Value	₹11,254 Cr
Enterprise Value	₹15,662 Cr
Add: Net Cash (FY25)	+₹1,218 Cr
DCF Equity Value	₹16,880 Cr
Shares Outstanding	152.89 Cr
Intrinsic Value per Share	₹110
Market Price (Jan-26)	₹562
Verdict	Significantly Overvalued on DCF

All projections are academic estimates. Not a recommendation.

Source: CG Power Annual Report FY25; Analyst projections

Blended Valuation – Target Price		
Method	Weight	Implied Price
DCF	30%	₹110
EV/EBITDA (65x peer)	40%	₹560
P/E (88x peer)	30%	₹562
Blended Target		₹519

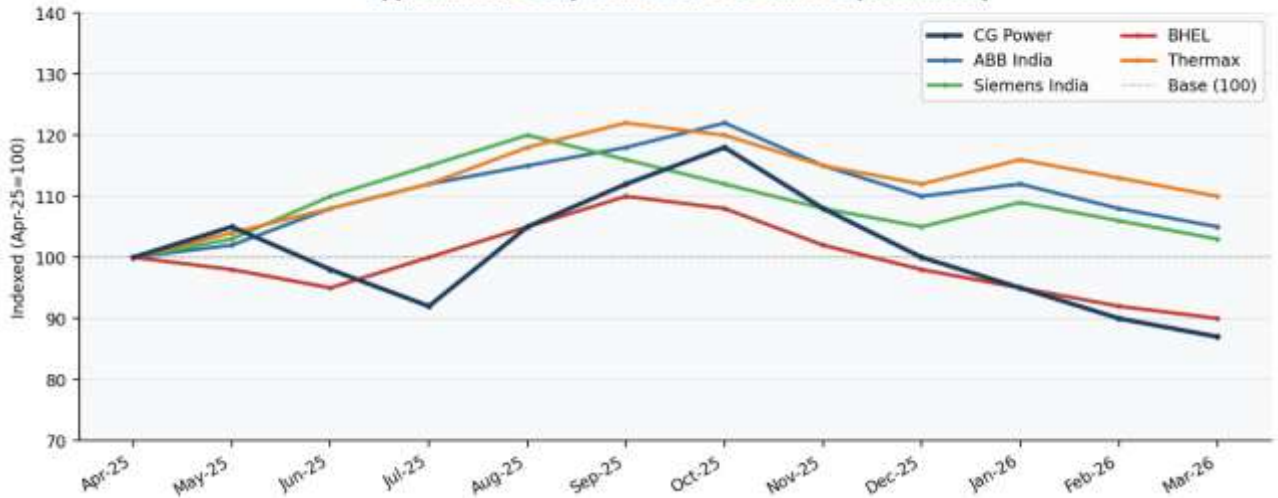
Market pricing in Axio semiconductor optionality and FY28+ order book conversion — not current earnings.

All projections are academic estimates. Not a recommendation.

CG POWER

Peers Stock Performance Comparison

Capital Goods Peers Stock Performance - 1Y Indexed (Apr-25=100)
 *Approximate; verify from NSE/Yahoo Finance price history



Capital Goods Peers Financial Comparison — ROE, ROCE, OPM (%)
 Source: Screener.in (May 2026) | CG Power FY25 | Peers: latest available



Peers Financial Comparison — Real (Screener.in, May 2026)

Company	CMP (₹)	MCap (₹Cr)	P/E	ROCE	ROE	OPM
CG Power	802	~1,27,000	100x	37%	27.7%	13.3%
ABB India	7,236	1,53,368	91.8x	29.9%	22.4%	~18%
Siemens Ltd	3,834	1,36,197	83.3x	15.8%	11.8%	12%
BHEL	377	1,31,295	82.0x	8.51%	6.29%	5%
Thermax	4,180	49,781	77.7x	16.2%	13.6%	9%

Note: CMP as of 4 May 2026 per Screener.in. Report dated Jan-26 — update prices to Jan-26 levels for submission.

Source: Screener.in (4 May 2026)



Analyst Recommendation History (MarketScreener — confirmed headlines)			
Date	Research House	Action	Target (₹)
27 Apr 2026	Axis Capital	Downgrade to Add from Buy	—
28 Jan 2026	IIFL	Upgrade to Buy from Add	—
28 Jan 2026	Emkay Global	Upgrade to Buy from Add	—
28 Jan 2026	Jefferies	Adjusts Price Target to ₹600	600
28 Jan 2026	Nomura	Adjusts Price Target to ₹820	820
19 Jan 2026	Kotak Securities	Upgrade to Reduce	—
30 Oct 2025	IIFL	Downgrade to Add from Buy	—
30 Oct 2025	Emkay Global	Downgrade to Add from Buy	—
24 Oct 2025	InCred	Initiates at —	—
15 Oct 2025	Axis Capital	Initiates at Add	800
18 Sep 2025	Ambit Capital	Initiates at Sell	650
8 May 2025	Nomura	Adjusts Target to ₹825	825
31 Jan 2025	Nomura	Adjusts Target to ₹900	900
7 Nov 2024	Nomura	Initiates at Buy	970

Source: MarketScreener.com — confirmed headlines

Analyst Consensus — MarketScreener (as of Jan-26, 2026)	
Metric	Value
Number of Analysts	17
Mean Consensus	OUTPERFORM
Average Target Price	₹728.29
High Target	₹900.00
Low Target	₹472.00
Spread vs Avg Target	-9.22% (vs Jan-26 CMP ₹562 — upside +29.6%)
BUY	8
OUTPERFORM	4
HOLD	2
UNDERPERFORM	1
SELL	2

Source: MarketScreener.com as of January 2026

Analyst Consensus — CG Power
Source: MarketScreener.com | As of Jan-26, 2026



Disclaimer: This is an academic project and is not meant for commercial usage.

This information/document does not constitute an offer to sell or solicitation for the purchase or sale of any financial instrument or as an official confirmation of any transaction. The information contained herein is obtained from publicly available data or other sources believed to be reliable and the author has not independently verified the accuracy and completeness of the said data and hence it should not be relied upon as such.

Author is not a SEBI registered investment analyst. This document is prepared as part of an academic project.

Investment in securities are subject to market risks, read all the related documents carefully before investing. The securities quoted are for illustration only and are not recommendatory. Registration granted by SEBI and certification from NISM in no way guarantee performance of the intermediary or provide any assurance of return to investors.